

Standard Chartered

3Q25 preview: expect stable NII, strong wealth and higher credit cost

Reiterate Rating: UNDERPERFORM | PO: 139.10 HKD | Price: 152.60 HKD

Expect muted volume growth & relatively stable NII QoQ

We expect volume growth to be relatively muted in 3Q. 1M HIBOR had recovered from 0.7% by end-June to 3.5% by end-September, and it averaged at 2.0% in 3Q, the same as 2Q. While the HIBOR recovery would help Standard Chartered, we do not expect the benefit to be material. The Fed cut rate by 25bp in late September, but the impact on 3Q should be limited. Management continues to expect NII in 2025 to be down by a low single-digit percentage compared with 2024.

Wealth and global markets flow income to remain strong

For non-interest income, much of the focus will likely continue to be on Wealth, an important growth driver for Standard Chartered. Management and peer comments appear supportive, and we expect another strong quarter of delivery. While Global Markets flow income continues to be good, episodic income appears softer in 3Q than in an eventful 1H, based on recent management communications. Our 3Q total revenue forecast (+1% YoY) is broadly in line with consensus. We forecast a 15% YoY increase in Wealth Solutions income and a 9% YoY increase in Global Markets income.

FFG charge to be back-end loaded, credit cost to rebound

Our 3Q operating expense forecast (+6% YoY) is slightly above consensus for both above the line costs and restructuring. Management now expects c.35-45% of the \$1.5bn 'Fit for Growth' (FFG) charge to be incurred in FY25. This is likely to be back-end loaded in the year, with only \$160m incurred in 1H25. We expect credit impairment to rebound QoQ from the low base in 2Q as the big net recoveries in CIB are unsustainable. HK CRE exposure is small (<0.5% of total Group exposure), so the impact is very limited.

Valuation: tweak EPS and roll forward to 2027e

We raise our 2025e EPS by 1% on a lower tax rate but lower 2026-27e EPS by 3% on more conservative NII forecasts, roll forward our valuation base from 2026e to 2027e, and thus increase our PO by 7.7% from HKD129.15 to HKD139.10. We reiterate our Underperform rating, given ongoing macro uncertainty and valuation not obviously cheap at c.1x P/TBV 26e for <12% statutory 2026 ROTE (see more in Exhibits 1 and 2 inside).

Estimates (Dec) (US\$)	2023A	2024A	2025E	2026E	2027E
Net Income (Adjusted - mn)	3,581	4,276	4,986	4,782	5,099
EPS	1.29	1.68	2.15	2.21	2.51
EPS Change (YoY)	31.7%	30.4%	27.8%	2.9%	13.7%
Consensus EPS (Visible Alpha)			1.83	1.95	2.49
Dividend / Share	0.27	0.37	0.49	0.50	0.62
Adjusted NAV PS	13.93	15.41	17.41	18.60	20.14
Valuation (Dec)					
P/E	15.21x	11.66x	9.12x	8.86x	7.80x
Price / NAV	1.41x	1.27x	1.13x	1.05x	0.97x
Net Yield	1.38%	1.89%	2.48%	2.56%	3.15%

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Refer to important disclosures on page 7 to 9. Analyst Certification on page 4. Price Objective Basis/Risk on page 4.

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For the exclusive use of Agatha Foo (agatha.foo@oliverwyman.com) at Oliver Wyman Financial Services

16 October 2025

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	HK\$129.15	HK\$139.10
2025E EPS	2.12	2.15
2026E EPS	2.28	2.21
2027E EPS	2.58	2.51

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Stock Data

Price	152.60 HKD
Price Objective	139.10 HKD
Date Established	7-Oct-2025
Investment Opinion	B-3-7
52-Week Range	82.20 HKD-158.50 HKD
Mkt Val / Shares Out (mn)	44,987 USD / 2,292.1
Market Value (mn)	349,771 HKD
Average Daily Value (mn)	15.02 USD
Free Float	100.0%
BofA Ticker / Exchange	XCHBF / HKG
Bloomberg / Reuters	2888 HK / 2888.HK
ROE (2025E)	9.6%

1M: 1-month

CIB: Corporate & Investment Banking

CRE: commercial real estate

FFG: Fit for Growth

NII: net interest income

PO: price objective

ROTE: return on tangible equity

TBV: tangible book value

iQprofileSM Standard Chartered

Key Income Statement Data (Dec)

(US\$ Millions)

	2023A	2024A	2025E	2026E	2027E
Net Interest Income	10,257	11,096	10,862	10,891	11,002
Net Fee Income	NA	NA	NA	NA	NA
Securities Gains / (Losses)	NA	NA	NA	NA	NA
Other Income	7,121	8,600	9,739	9,930	10,563
Total Non-Interest Income	7,121	8,600	9,739	9,930	10,563
Total Operating Income	17,378	19,696	20,601	20,821	21,565
Operating Expenses	(11,136)	(11,790)	(12,194)	(12,409)	(12,733)
Pre-Provision Profit	6,242	7,906	8,406	8,412	8,832
Provisions Expense	(658.00)	(1,146)	(923.90)	(1,073)	(1,102)
Operating Profit	NA	NA	NA	NA	NA
Non-Operating Income	(491.00)	(747.00)	(760.00)	(750.00)	(300.00)
Pre-Tax Income	5,093	6,013	6,722	6,589	7,430
Net Income to Comm S/Hold.	3,017	3,593	4,340	4,178	4,813
Adjusted Net Income (Operating)	3,581	4,276	4,986	4,782	5,099

Key Balance Sheet Data

Total Assets	822,844	849,688	915,002	934,927	954,158
Average Interest Earning Assets	572,520	539,338	554,171	596,790	616,368
Weighted Risk Assets	244,151	247,065	258,446	270,329	279,413
Total Gross Customer Loans	292,145	285,936	290,329	300,369	309,427
Total Customer Deposits	469,418	464,489	501,011	524,563	546,789
Tier 1 Capital	39,806	41,672	42,932	43,219	43,923
Tangible Equity	38,231	38,597	40,349	40,386	41,064
Common Shareholders' Equity	44,445	44,388	46,440	46,691	47,562

Key Metrics

Net Interest Margin	1.79%	2.06%	1.96%	1.83%	1.79%
Tier 1 Ratio	16.3%	16.9%	16.6%	16.0%	15.7%
Effective Tax Rate	32.0%	32.8%	28.0%	29.0%	28.5%
Loan / Assets Ratio	34.9%	33.1%	31.2%	31.6%	31.9%
Loan / Deposit Ratio	61.1%	60.5%	57.0%	56.3%	55.7%
Oper Leverage (Inc Growth - Cost Growth)	3.3%	7.5%	1.2%	-0.7%	1.0%
Gearing (Assets / Equity)	18.5x	19.1x	19.7x	20.0x	20.1x
Tangible Common Equity / Assets	4.6%	4.5%	4.4%	4.3%	4.3%
Tangible Common Equity / WRAs	15.7%	15.6%	15.6%	14.9%	14.7%
Revenue Growth	10.3%	13.3%	4.6%	1.1%	3.6%
Operating Expense Growth	7.0%	5.9%	3.4%	1.8%	2.6%
Provisions Expense Growth	-24.8%	74.2%	-19.4%	16.2%	2.7%
Operating Revenue / Average Assets	0.7%	0.8%	0.8%	0.8%	0.8%
Operating Expenses / Average Assets	-1.4%	-1.4%	-1.4%	-1.3%	-1.3%
Pre-Provision ROA	0.8%	0.9%	1.0%	0.9%	0.9%
ROA	0.4%	0.4%	0.5%	0.5%	0.5%
Pre-Provision ROE	14.3%	17.8%	18.5%	18.1%	18.7%
ROE	6.9%	8.1%	9.6%	9.0%	10.2%
RoTE	9.9%	11.6%	13.1%	12.3%	13.0%
RoWRAs	7.1%	8.0%	8.2%	7.9%	7.8%
Dividend Payout Ratio	20.9%	22.0%	22.6%	22.7%	24.5%
Efficiency Ratio	64.1%	59.9%	59.2%	59.6%	59.0%
Headline Cost/Income Ratio	NA	NA	NA	NA	NA
Total Non-Interest Inc / Operating Inc	59%	56%	53%	52%	51%
Market-Related Revenue / Total Revenues	0%	0%	0%	0%	0%
Provisioning Burden as % of PPP	10.5%	14.5%	11.0%	12.8%	12.5%
NPLs plus Foreclosed Real Estate / Loans	NA	NA	NA	NA	NA
Loan Loss Reserves / NPLs	71.5%	79.1%	77.9%	75.3%	73.1%
Loan Loss Reserves / Total Loans	1.8%	1.7%	1.7%	1.7%	1.6%
Provisions Expense / Average Loans	0.2%	0.4%	0.3%	0.4%	0.4%

Other Metrics

Income / Employee	NA	NA	NA	NA	NA
(Operating Expenses) / Employee	NA	NA	NA	NA	NA
Pre-Provision Profit / Employee	NA	NA	NA	NA	NA
Net Profit / Employee	NA	NA	NA	NA	NA

Company Sector

Banks-Multinational/Universal

Company Description

Standard Chartered is headquartered in London, but its major operations are in Asia and Africa, with a diverse footprint within these continents. Standard Chartered has three main divisions: 1) Corporate, Commercial and Institutional Banking, 2) Consumer, Private and Business Banking, and 3) Ventures. The shares are listed in both London and Hong Kong in a dual primary listing.

Investment Rationale

We rate Standard Chartered Underperform. It may not appear expensive, despite strong share price performance in 2024. However, we see downside risks from here given NII compression in a falling US rate environment. In addition, emerging markets are likely to face more macro headwinds given a more protectionist US trade policy, which limits both loan growth and fee income growth upside. While we remain positive on Wealth, consensus has likely priced in most of the upside potential.

Stock Data

Price to Book Value

0.9x



Exhibit 1: Forecasts vs Visible Alpha consensus

Our profit before tax (PBT) forecasts are c.3% below consensus, reflecting higher costs and restructuring

	2Q25	3Q24	3Q25E	3Q25 cons	vs cons	3Q25E/ 3Q24	3Q25E/ 2Q25
Profit & loss							
Net interest income	2,703	2,769	2,692	2,648	2%	-3%	0%
Non-interest income	2,806	2,135	2,277	2,331	-2%	7%	-19%
Operating income	5,509	4,904	4,969	4,979	0%	1%	-10%
Operating expenses	(3,050)	(2,840)	(3,023)	(3,002)	1%	6%	-1%
Credit impairment	(117)	(178)	(252)	(255)	-1%	42%	115%
Other impairment	(3)	(92)	(33)	(30)	12%	-64%	1000%
Associates & JVs	64	13	18	18	-1%	n.a.	n.a.
Underlying profit before tax	2,403	1,807	1,679	1,711	-2%	-7%	-30%
Restructuring charges	(123)	(91)	(260)	(245)	6%	186%	111%
DVA	0	5	0	0		n.a.	n.a.
Other	0	1	0	0		n.a.	n.a.
Statutory profit before tax	2,280	1,722	1,419	1,466	-3%	-18%	-38%
Key metrics							
CET1 ratio	14.3%	14.2%	14.0%	14.0%			
RWA (\$bn)	259,700	248,900	259,499	259,919			
Dividend (cents)	12.30	0.00	0.00	0.00			
Buybacks	1,300	0	0	0			

Source: BofA Global Research estimates, Visible Alpha consensus

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Exhibit 2: Standard Chartered valuation using Gordon Growth model

Our fundamental valuation suggests a valuation of HKD139.10 per share

STAN	Value per share
2027E RoTE	12%
CoE	12.5%
Growth	0%
Book multiple	1.0x
Book multiple discounted to 1 year from now	0.8x
2026E tangible book value	1860
Value pre capital distributions	1577
Add back: dividends	142
Excess capital per share	72
Fundamental valuation (cents)	1791
Price objective (HKD)	139.10
Change to previous PO	7.7%

Source: BofA Global Research estimates

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Price objective basis & risk

Standard Chartered (XCHBF)

Our valuation methodology is a Gordon Growth Model based on our 2027E forecasts, to which we add the present value of expected dividends. With a 12.5% cost of equity assumption, this suggests a price to book multiple of 1.0x, reducing to 0.8x when discounted to a year from now at our cost of equity. We apply this to 2026E tangible book value and add the dividends we forecast through to 2027E (also discounted), and adjust for excess capital to the bottom end of management guidance. Using this valuation approach, we arrive at a price objective of HKD139.10.

Upside risks to our PO are 1) US rates stay higher for longer, terminal rate higher than expected, 2) further stimulus from the Chinese government, 3) Emerging Asia/ Hong Kong loan growth recovers faster than expected.

Downside risks to our PO are 1) loan growth remains subdued for longer, 2) Wealth Management flows slow as competition intensifies, 3) global trade flows reduce more than expected with higher tariffs.

Analyst Certification

I, Emma Xu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Agricultural Bank of China	ACGBF	1288 HK	Winnie Wu
	AIA Group Limited	AAIGF	1299 HK	Michael Li
	Bank of Chengdu	XBCQF	601838 CH	Wenqing Han, CFA
	Bank of Jiangsu	XBJCF	600919 CH	Wenqing Han, CFA
	Bank of Ningbo	XBINF	002142 CH	Wenqing Han, CFA
	BOC Hong Kong Holdings Ltd	BNKHF	2388 HK	Winnie Wu
	China CITIC Bk	CHBJF	998 HK	Emma Xu
	China Construction Bank	CICHF	939 HK	Winnie Wu
	China Construction Bank -A	XCTBF	601939 CH	Winnie Wu
	China Galaxy Securities Co Ltd	CGXYF	6881 HK	Susie Liu, CFA
	China Galaxy Securities Co Ltd	XCXYF	601881 CH	Susie Liu, CFA
	China International Capital Corporation	CNICF	3908 HK	Susie Liu, CFA
	China Life Insurance	CLIJF	2628 HK	Michael Li
	China Pacific Insurance Group	CHPXF	2601 HK	Michael Li
	China Securities Corp	CSCFF	6066 HK	Susie Liu, CFA
	Chongqing Rural Commercial Bank	COGQF	3618 HK	Wenqing Han, CFA
	Chongqing Rural Commercial Bank - A	XCRQF	601077 CH	Wenqing Han, CFA
	CITIC Securities	CIIHF	6030 HK	Susie Liu, CFA
	CITIC Securities -A	CIISF	600030 CH	Susie Liu, CFA
	CTBC FHC	CTFHF	2891 TT	Susie Liu, CFA
	E.Sun FHC	ESUFF	2884 TT	Michael Li
	Futu Holdings	FUTU	FUTU US	Emma Xu
	GF Securities	GFSEF	1776 HK	Susie Liu, CFA
	GF Securities	XMPQF	000776 CH	Susie Liu, CFA
	Guolian Minsheng Securities	XLTYF	601456 CH	Susie Liu, CFA
	HKEX	HKXCF	388 HK	Michael Li
	Huatai Securities	XHTLF	601688 CH	Susie Liu, CFA
	Ind & Comm BK	IDCBF	1398 HK	Winnie Wu
	Jiangsu Changshu Rural Commercial Bank	XBJTF	601128 CH	Wenqing Han, CFA
	PICC Group	PINXF	1339 HK	Michael Li
	PICC Property & Casualty	PPCCF	2328 HK	Michael Li
	Ping An Insurance	PIAIF	2318 HK	Michael Li



Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Qifu Technology	QFIN	QFIN US	Emma Xu
	Qifu Technology	XDXRF	3660 HK	Emma Xu
	Sinolink Securities	XERQF	600109 CH	Susie Liu, CFA
	UP Fintech Holding	TIGR	TIGR US	Emma Xu
	Zheshang Securities	XDSEF	601878 CH	Susie Liu, CFA
	ZhongAn Online P&C Insurance	ZZHGF	6060 HK	Michael Li
NEUTRAL				
	Bank Of China	BACHF	3988 HK	Winnie Wu
	Bank Of China -A	BACZF	601988 CH	Winnie Wu
	Bank Of Communications Co-A	XNCTF	601328 CH	Winnie Wu
	Bank of Hangzhou	XBHCF	600926 CH	Wenqing Han, CFA
	Bank of Nanjing	XBNMF	601009 CH	Wenqing Han, CFA
	Cathay FHC	XCIF	2882 TT	Michael Li
	Chailease	XCAHZ	5871 TT	Susie Liu, CFA
	China Intl Capital Corp - A	XCCIF	601995 CH	Susie Liu, CFA
	Fubon FHC	FUISF	2881 TT	Michael Li
	Guotai Haitong Securities	GUOSF	2611 HK	Susie Liu, CFA
	Guotai Haitong Securities-A	XOQOF	601211 CH	Susie Liu, CFA
	HSBC	XHSBF	5 HK	Emma Xu
	Huatai Securities	HUATF	6886 HK	Susie Liu, CFA
	Ind & Comm BK -A	XIKNF	601398 CH	Winnie Wu
	Ping An Insurance	XPSPF	601318 CH	Michael Li
	Postal Savings Bank of China - A	XPSSF	601658 CH	Winnie Wu
UNDERPERFORM				
	Agricultural Bank Of China-A	XACNF	601288 CH	Winnie Wu
	Bank of Comm	BKFCF	3328 HK	Winnie Wu
	Bank of E Asia	BKEAF	23 HK	Emma Xu
	Bank of E Asia-A	BKEAY	BKEAY US	Emma Xu
	Bank of Suzhou	XCZIF	002966 CH	Wenqing Han, CFA
	BOC International (China)	XLTF	601696 CH	Susie Liu, CFA
	China CITIC Bk -A	CHCKF	601998 CH	Emma Xu
	China Everbright Bank	CEBCF	6818 HK	Emma Xu
	China Everbright Bank	XCBLF	601818 CH	Emma Xu
	China Industrial Bank Co. Ltd.	INBLF	601166 CH	Emma Xu
	China Life Insurance	XCNNF	601628 CH	Michael Li
	China MERCH BK -A	CIHKF	600036 CH	Winnie Wu
	China Merchants Bank	CIHMF	3968 HK	Winnie Wu
	China Merchants Securities	XMRKF	600999 CH	Susie Liu, CFA
	China Merchants Securities	XQJRF	6099 HK	Susie Liu, CFA
	China Minsheng Banking Corp Ltd	CGMBF	1988 HK	Emma Xu
	China Minsheng Banking Corp Ltd -A	CMAKF	600016 CH	Emma Xu
	China Pacific Insurance Group	XCJNF	601601 CH	Michael Li
	China Securities Corp	XCSIF	601066 CH	Susie Liu, CFA
	New China Life	NWWCF	1336 HK	Michael Li
	New China Life	XNWCF	601336 CH	Michael Li
	Orient Securities	XOBNF	600958 CH	Susie Liu, CFA
	Orient Securities	XONQF	3958 HK	Susie Liu, CFA
	PICC Group	XPIDF	601319 CH	Michael Li
	Ping An Bank	XPABY	000001 CH	Emma Xu
	Postal Savings Bank of China	PSBKF	1658 HK	Winnie Wu
	Shanghai Pudong Dev Bank	SHVPF	600000 CH	Emma Xu
	Shanghai Rural Commercial Bank	XQZAF	601825 CH	Wenqing Han, CFA
	Standard Chartered	XCHBF	2888 HK	Emma Xu
RSTR				
	Hang Seng Bk	HSNGF	11 HK	Emma Xu
	Hang Seng Bk - A	HSNGY	HSNGY US	Emma Xu
RVW				
	Lufax Holding	LU	LU US	Emma Xu



iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

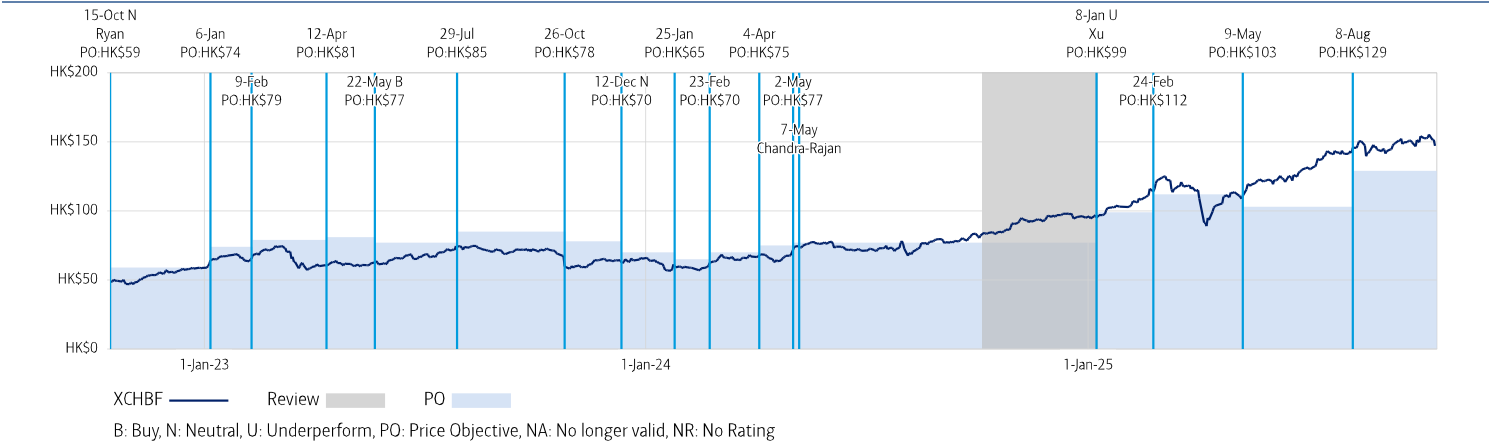
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Disclosures

Important Disclosures

Standard Chartered (XCHBF) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Banks Group (as of 30 Sep 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	112	53.33%	Buy	91	81.25%
Hold	50	23.81%	Hold	39	78.00%
Sell	48	22.86%	Sell	39	81.25%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1816	53.11%	Buy	1062	58.48%
Hold	825	24.13%	Hold	480	58.18%
Sell	778	22.76%	Sell	385	49.49%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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